PRICKLY BEAR

Podcast: Market huddle

AI Executive Summary

1. Core Thesis The episode analyzes a global bond market correction triggered by a US Treasury-led intervention to suppress long-term yields, which the market has interpreted as a warning signal of potential future monetization (QE) rather than genuine rate suppression. Despite strong fundamental support from Nvidia earnings and sector leadership, broader equities remain vulnerable due to weak participation from peers within the AI/Mag-7 complex. Simultaneously, asset classes have reacted violently, with gold, Bitcoin, and certain commodities breaking out of bear trends, while others like copper remain over-bullish and oil stabilizes in a range, creating distinct trading opportunities and risks based on positioning density and potential squeezes.

2. Key Arguments & Data * **Bond Market Dynamics:** * Global long-term yields (30-year US/EU/Japan) spiked post-Jackson Hole minutes, driven by Treasury intervention rather than Fed policy alone. * **Treasury Intervention:** Besson announced buybacks totaling $28 billion over seven auctions against ~$300 billion in issuance; market interpreted this as a warning of future monetization risks rather than just size. * **COT Positioning:** 30-year bond short positions are at the 0th percentile, suggesting potential forced covering if yields continue falling, which could trigger a squeeze or further volatility. * **Financial Stability:** The Federal Reserve's "Bond Put" prioritizes liquidity and corporate funding stability over inflation mandates; intervention is seen as managing supply/oversubscription rather than correcting inflation. * **Federal Reserve & Monetary Policy:** * Post-Jackson Hole speech: Warsh initially hawkish but surprised the market with inaction on rates; FOMC futures now price ~50% chance of no move in October. * Market Fear: Investors worry that Treasury interventions might precede balance sheet expansion if yields remain high, overriding Fed neutrality. * VIX Volatility: Collapsed to a 14-handling (30-day) despite FOMC/Quad-witching/Op-Ex pressure due to lack of risk demand ("Stocks are cheap"). * **Equities & AI Sector:** * **Nvidia:** Earnings beat guidance significantly (70% vs. 44% estimate); cleared 52-week high and testing $52-week highs, potentially aiming for a six-trillion dollar market cap run ($240-$250). * **Mag-7 Response:**

Weakness compared to NVDA; Apple flat, Amazon/Google/Meta down, MSFT up alone. * **S&P 500:** Forms flagging breakout pattern but requires Mag-7 participation to break through previous highs (Target: 8,000). Current volatility is low due to consensus "top" expectations. * **Commodities & Precious Metals:** * **Gold:** Sudden bullish reversal off basing formation following Treasury news; COT positioning confirms long dominance in gold/bonds correlation. * **Bitcoin:** Explosive velocity suggesting short squeeze dynamics or aggressive buying; destroyed bear trend metrics post-Labor Day potential. * **Copper:** At 99th percentile of long positioning (decisive crowding); Freeport-McMoRan broke to 52-week high. Risk of "Irish exit" due to crowd risk, though fundamentals remain bullish. * **Natural Gas:** Hated market ("Widowmaker") at 0% long positioning / 5-year high gross shorts; potential winter squeeze catalysts. * **Uranium/Grains:** Uranium mirrors Gold price action exactly (peak/correction/breakout parallel); Grains/Wheat/Corn/Soybeans broke out decisively to new highs. * **Energy & Oil:** * **Crude Oil:** Stabilized around $80-90 range ("Upper Shelf"); no longs left to sell into the market after prior squeezes (COT shorts peaked at 230k contracts). Unlikely to drop below $70/60 for foreseeable intermediate period. * **Energy Stocks:** Structurally bullish and repriced for sustainable profits, outperforming oil indices themselves.

3. Actionable Takeaways * **Diversify via Gold & Bitcoin:** Treat Gold as a confirmed secular bull market requiring no further fundamental validation beyond the catalyst; maintain aggressive accumulation positions on BTC given its velocity has eliminated bear metrics. * **Monitor Mag-7 Participation:** If NVDA continues to move without significant participation from Amazon/Apple/Meta/Google, consider this a potential flag signal indicating the S&P 500 top may be forming and prepare for volatility in Q3/Q4. * **Commodity Strategy:** * **Long Copper:** Only take long copper positions if you plan an "Irish exit" (profit-taking) due to extreme crowding; do not fade based on COT positioning data. * **Short Natural Gas:** Consider a high-risk trade on winter gas squeezes given the 5-year high gross short interest, though no guarantee of squeeze exists. * **Equity Positioning:** Lean bullish on energy stocks due to repricing from $70/60 oil floors; remain neutral on physical oil as it operates as a ceiling mechanism rather than a floor. * **Macro Watch:** Anticipate Treasury yield

suppression leading to inflation fears; do not rely solely on Fed hiking narratives when the Treasury is actively managing bond market liquidity.

Full Transcript

Hit it. It's Friday, August 27th, 2026, episode 299. I'm Patrick Serezna and I'm Kevin Muir. This week it's a no interview show, so it's just me and Patrick. Dig in, kick back, and let's hear what the charts are telling our resident technical analyst. And unlike you, I'm gonna crack open a beer and keeping a long-standing tradition. So Danny, what Portuguese beer am I drinking here?

So you are drinking, I'm going to have to read it off my phone, but this is the prickly pear. It's a 6% fruit beer and they use the locally. It's called prickly pear or for your case, you know, I literally bought it because I misread. I saw prickly bear and and I was like, that's perfect. And it's like, oh, damn it. It's really bare. Very. Anyway, it was prickly bear and then you got a prickly bear. Okay. All right. Give us a disclaimer, buddy. Nothing in this podcast should be viewed as investment advice. Listener should consult an investment professional before making any decisions regarding topics mentioned in the show. Side effects of too much huddle may include the best sent twist disorder, the dollar disbased debasement dysfunction and the Jackson Hole performance anxiety. I, uh, those are, uh, those are some nasty side effects. All right. Let's, let's jump into this.

All right, Patrick, lots going on in the markets, even though they're quiet. What do you got for us? Well, I don't know if you want to say they're quiet. There's some interesting stuff. Well, quiet in terms of the volumes, buddy. And that's the one thing that you should people should be aware of is that, yes, there's some interesting things happening, but the actual volumes are quiet. Right. So let's let's dive into. First, let's rewind. Because I think the most interesting thing that happened was the bond intervention by Bascent the other week. And that was after we recorded the last episode. So there's lots to cover here in terms of what happened. But when we did our last episode, the 30-year yield afterwards started ripping north of 530.

Look and it was by the way the interesting part. It wasn't just the actual us 30 year yield but Right across the world. We were basically seeing at the time Europe the European 30-year yield was ripping to 375 we saw the

England Bonds basically ripping up to 585 to a higher high we saw a rising Japanese 30 year yield that was pressing for 15, looking like it was going to take a shot above its May highs. So there was a general strike against long dated government bonds that was really emergent. And suddenly we had the FOMC meeting minutes, which were coming out like that the Fed is more or less staying the course. And then came the Treasury announcement and this little, is it fair to say we'll call it an operation twist? But not a Fed-driven one, a Treasury-driven twist. We didn't get into exactly what it is, but it was definitely an attempt at a twist. Attempt at a twist. But basically, I think that the size...

itself was not that significant. What I actually think was most relevant was the fact that the Treasury blinked, right? Like the Treasury blinked in that they basically did not like where yields were and they felt that they needed to step in. And I feel that the response was not about the dollar size, because we saw ridiculous moves in gold, we'll talk about a huge move in Bitcoin, all sorts of assets started to move. And it's not just because of this little buying, but rather this idea that we now know where the administration does not like. the yield and very likely to attempt numerous times to defend this area if it's beaten. And I think that it sends a message to the market that this is the kind of place where they're worried. How would you interpret it differently? I think that that was the problem is that it did make it look like the Treasury or the administration was worried about rates.

you highlighted the beginning that it wasn't just a US rate story, but it was across the world. I can't have like everyone seems to be losing their shit about how badly bonds are trading. And I'm like, if you stop and think about it in the grand scheme of things, it's not that big a deal. Like they haven't backed up that much. And I wrote a piece about this and I just I'll just kind of give you a little synopsis. But When you have a gd a nominal GDP of six and a half percent with the government deficit of six percent and with the AI capex build out Sucking up basically being the largest capex build out. We've seen since the railroads of 1950 Okay, and then to top it all off the geopolitical situation you know, the Trump has, you know, at the very least changed the other country's willingness to run deficits for whatever reason. So we have a situation where it's not just the US that's willing to run a large deficit. Now all countries are either willing or have to

run large deficits. So when we stop and think about it, like everyone is issuing bonds.

Right. It's it's a huge supply. We have record corporate record government and record non-US government. So the fact that bonds are rising in in yield and declining in price is not a surprise. Not to be. It's not a surprise. Not only that, Patrick, it's really not that big a deal. Like we go look at the 30 year term premium. And for those who don't know, term premium is is in essence the amount that the market is demanding in excess of what the market expects the Fed funds to average over the life of a bond. So if you're nervous about the situation, you'll say, I think that the Fed funds are going to be. 3% over the next 30 years. But I'm going to demand five because I think that there's a chance that there's something really bad happens or whatever inflation gets out of control. So you demand. So that's a 200 basis point term premium. And if you look at that term premium, yes, it is increased over the last year or two, or it's actually been increasing for the last five years. But it's not like it's some obscene level.

It's very much just in the middle of the range of the past, you know, 30, 40, 50 years. So one of the things that's happening is we're just getting a return to normal of interest rates. And we should be asking ourselves, like, why are we so freaked out about that? And I would contend the reason that we're so freaked out about that is because the US government has never had this much debt. and it's increasingly going to make it so the government shouldn't be spending this amount. But to your point that when you're faced with a market signal that is telling you that you're spending too much, you have a choice of either cutting back on spending or trying to suppress the market signal. And one of the things and you rightfully point out is the volumes of this buyback liquid this liquidity buyback are actually tiny he increased it there's seven buybacks between now and when he went his target which ironically was there maybe not ironically or maybe strategically was actually around the midterms so there's seven buybacks of two billion dollars that he's made four billions so it's 28 billion It's tiny in terms of the market. Like they're going to issue 300 billion or something 30 years, so they're going to buy back 28 of them. It's nothing. I appreciate you talking tininess. But to me, when you look at the way, for instance, gold and Bitcoin and other things moved, then actually, as tiny of a bond intervention

as this was, It's the signal that emerged from it actually had some really big impacts. I'm not going to disagree with you, Patrick. I was just saying you're correct to say it's tiny, but you're also correct to say the market got nervous about it. Right. Right. That's the important part. They took it as a potential of basically the government monetizing the debt. Now, listen.

I don't know if you want me to explain how this potentially could turn into monetization because it is a complicated affair that like has many steps. And but on its on its own, it's actually not that big a deal, but it's not that hard to envision how this would in essence become QE. So I would imagine that, you know, a wash. was sympathetic to what Besent did. But, you know, like when the two of them get together for breakfast once a week and talk markets, you know, I could imagine like Besent saying to Warsh, like, we need to do something, we can't let yields rock it higher. And he says, listen, my hands are tied. It's a committee of 12 people. They're concerned about inflation. We're not going to be doing any big operation.

But you could do this like that. I'm pretty sure Warsh in some degree or another gave a blessing and was a completely aware that this that this was happening. The question in my mind is with Warsh knowing like I'm making assumption but I'm assuming do you feel that I'm incorrect in saying that Warsh would have known that this was happening. He 100% knew. Now I was gonna say you're correct about the latter part of your about your your assertion, but you also said, I think he would be approving of it. I'm not as sure as you are that he would approve of this. And I, I, that's critical because, yeah, that's, that's critical because I feel there's two paths, either a, you know, Warsh basically says, listen, you're going to have to do the lifting at the Treasury side.

until market conditions weaken enough for me for us at the Fed to start some sort of balance sheet expansion where we can intervene, but we simply in this market condition can't justify doing it. So this is in your hands until you keep assuming that that washes on the same side is as well. No, I said there's two paths. I said there's one that he's on the same page. Okay. Yeah. And the other is, look, We're fine with it where everything is. If you guys don't like it, you guys are on your own and you have to see what you guys can do. I won't lie. I am actually more in the camp that of the first

scenario in my opinion. But that's just an opinion and I have no inside information. I think given that Stanley Druckenmiller came out and wrote that op ed.

And that in the past, Stanley Druckenmiller and Kevin Warsh have written op-eds together. It is probably, I would be more in the camp that in private, Warsh was telling Scott to not do it. And that ultimately he did it. And then Druckenmiller says, well, the idiot's not listening to you in private. I'm gonna tell him in public. And that's how I interpret this as having gone down. And to me, I think if you actually wanted to get rates lower, the easiest way would be from the Fed to be really hawkish. Like, that is- On the long bond, yes. Yeah. That is how you get rates lower. The Fed comes out and we saw that. The Warsh came in. He made his first FOMC speech.

And he was hawkish and it surprised everyone because they all thought he was going to be a shell for Trump. And the long end went down. If that is what you're trying to accomplish, if you want to lower long term borrowing rates, the way to do it is to actually prove your inflation, you know, targeting, create a spin in another way, just that we're heading toward a recession because they over tighten. cause economic contraction. Yeah, well, of course, that is a part of the reason that the long bond does that. But at the same time, the long bond investor's worst nightmare is a Federal Reserve that is basically giving the green light to inflation. So saying we're comfortable with it. So, okay, this is this interesting thing. First of all, I just have here on the screen, right now going into September 16, we're literally just a couple weeks away.

from the next Fed meeting. And they're right now pricing in a 66% chance that the leaves rates unchanged. Two out of three odds is being baked into Fed funds futures that he doesn't move, which makes it an incredibly political decision to move in October, right before the elections, like literally, a week before the elections, and even here they're pricing in a 50% chance that he doesn't move in October either. So right now, this idea of at least a market's pricing is not pricing in a wash being hawkish. Now here we are to Jackson Hole. And Jackson was a kind of a once a year country club of all the global central bankers getting and they talk a much bigger picture So we're not gonna hear about the latest PCE price index print and

stuff like this They're gonna talk about the direction global monetary policy of the Western world was moving at these events and And I'm very curious whether That in that bigger picture conversation when we hear him speaking by the way, we're recording before his speech, so we don't know what he's saying tomorrow but It'll be interesting whether he can maintain that hawkishness or whether Somehow whatever he says is interpreted far more dovishly than expected I'm more like I don't expect him to do a flip But, you know, they're going to be looking for tone. They're going to be looking for, you know, is he really serious about what he said in his first meeting? Or is the general direction implying that he may not even move at all? And like, what's your opinion on this? What's happening that happened tomorrow? So I think there's a lot of people talking about how important this meeting is.

And I'm going to call bullshit. I don't think this is a big deal at all in terms of story. This depends what he says. It could be. It's like I actually I'm going to take the other side of that, too. I don't think he can say anything anymore. The market won't believe him. So what is he going to do? He's going to come out and be hawkish. He already came out and was hawkish. He had his chance. It's going to come out and be dovish. The reality is it's a committee. It's not going to change anything. I don't think he can do anything. He is he had his that's why I thought it was so important that the last meeting He do it because this meeting now he can't from politics like he can't sorry not him the FOMC It's gonna be increasingly difficult for them to raise rates this meeting or the next one now I don't even know if they should raise rates But if you were gonna do it if you were gonna be hawkish at that last meeting hundred percent and now he's gone, he's thrown, you know, he talked a big game about being, you know, not willing to stand up, sorry, not willing to accept 61 months or whatever it was of inflation being above target. But the question that was almost, you know, was continually asked in different forms was, you say that you're not willing to accept inflation above target, yet Here we are with 60 months of it being above target and you didn't raise rates, right? Like it made no sense. You can't say you're not willing to accept inflation above target and then accept inflation above target. And so my point is even if he now comes out and tries to pretend he's hawkish, the market is not going to believe him. I have a question for you. Yeah, I have a question for you.

Where where's the threshold so everyone talks about the dual mandate of the Fed right? Basically jobs and inflation, but I've argued many times that actually the the main mandate of the Fed is financial stability and And when the markets become financially unstable that overrides

Both of those are two other mandates. They are basically there to make sure that there isn't financial failures that there is there. They're the lender of last resort that they are basically there to stabilize shit. So question I have for you is what is a really painful number that we would have to see on the bond yields on the long bonds in order for the central bankers, the FOMC, to realign saying inflation is sticky and it's high and jobs are weak, but they're okay. But with yields running and funding stresses around everything going to where they are, when is it that they say, no, we have to stabilize financial conditions in the bond markets where they have to override their other mandates. What's that threshold? Okay, the problem is that you're mixing different parts of the bond market. And so, of course, repo markets, right? And so, so you're, you're spot on correct that above all else, the Federal Reserve wants a properly functioning bond market.

And a lot of people talk about how the FMC has a S&P put. I disagree. It's actually, it's a bond put. But it's not a bond put in the way that we're thinking about bond puts. right now in terms of yields on treasuries. It's a it's a bond put in terms of liquidity and it's but it's also a bond put in terms of corporate corporates that are able to issue and things like that. So we go rewind back to the 2018 period when Powell did his were a long way from neutral error. What happened in the wake of that was that the corporate bond market seized up and they couldn't issue anymore. And so it just immediately dried up. So corporations that had to roll debt were having trouble rolling debt. And yes, stock market went down as well. The stock market was going down because all of a sudden the corporate bond market was in trouble. And that is ultimately why Powell panicked. People thought it was because of the S&P. The S&P was actually just a side effect.

of the actual underlying problem, which was the problems in the funding of the corporate bond market or in the overnight rate as well. So you're correct there, but the trouble about this right now is we aren't getting that. That's not what's happening here. We're not getting the markets running into

trouble because of the situation that there's something underlying in the financial system. We're getting the bond market backing up Because there's too many bonds because they're issuing too many. It's not that they But it's but but it's but the reason that the market is backing up is because that is the way the market's way of Encouraging less borrowing to happen Right like in the one time. So in 2018 we ran out of bids Okay That's why that's why they had to intervene. We ran out of bids in the bond market. In this case, there's too many offers and they're overwhelming the bids. There's too many offers. That's a small news. That's a it's not what happens. What what happens? It's not small. It's because one of them is because the market is going to actually the economy in the market is going to be into trouble. The other one is because the economy in the market is doing so well.

So they're not it's not a small nuance. It's it's actually it's really important that it's be different but as liquidity dries up because like for instance, okay Anthropic is gonna roll in in a month with with an IPO They're gonna sneak in, you know, whatever like You know a hundred what I was what it was the IPO estimate. I don't know. It's like these numbers. I'm gonna yeah, I'm getting whatever like some a huge amount What happens is they're just, everyone's grabbing at liquidity that's in the system and they're sucking it out with all of these issuances. There's a point where all these AI buildouts that are issuing ridiculous amounts of bonds. You're saying that that's because the market is so hot, but that still needs somebody to come up with the money.

And the thing is is that I guess it will mean that the AI Will have to find funding at much higher rates inevitably and that's already happening Patrick like They are increasingly having to fund at higher and higher rates. This is how markets work. You have more supply Prices go down and the people that take that risk get paid more And this is the problem that Druckenmiller highlighted in his op-ed is that we are trying to suppress the signal. And not only that, I would argue we're trying to suppress the signal at the first tiny little bit of a price dislocation. I wouldn't even call it a price dislocation. This is just the market doing what the market should do. You issue more, prices go down.

And all you need is like economy to slow the issue less prices will go back up. So, yeah, I guess I'm on a different page there. And I think that the reason that the bond gold market is got nervous about it is because they recognized that this was absolutely ridiculous that they were already panicking. And that is really what we should be asking ourselves. Why are they panicking at, you know, these levels. So it's interesting, I want to just pivot here to the COT signal heat map and just show that the 30-year bond is at the zero percentile right across the board in terms of positioning. And basically, when you look at it from a contract perspective, so again, the COT reports, the commitment of trader reports that we're looking at, legacy, which is how our large speculators positioned in the markets, in their representing managed money hedge funds and systematic trading strategies and so on. What's particularly interesting is that prior to this announcement, the positioning in the 30-year bond, let's say just by gross short positioning, was 420,000 contracts short, which was only eclipsed by a brief period in late 2024, where they were more short temporarily at that moment. But when you look at a five-year look back, we were basically coming in here, there was a very large amount of large specs and managed money hedge funds that were basically short this market.

The interesting part is, okay, you're saying, well, market, so it is, it was a trade that isn't surprising anyone. There was a very large amount of people that see, like yourselves, that basically see what's going on. And they have been actually leaning in on the short side. And the interesting question I have about this is like in the same manner from which all the oil bulls got caught, during the Strait of Hormuz event going in May into June and got squeezed. The question is, is the fact that everyone was so consensus on this being a here and now problem, what we're very interesting is that tomorrow, Friday's caught report, it's going to be the first data that we're going to see is how many of these short sellers actually were forced to cover from this pivot from this little descent move. And the question also then becomes what happens if it creates a little bit of a squeeze and is there room for this to be squeezed irrespective of the fundamental view that you have there. It's super interesting the timing of this move because there was some pretty extreme positioning Going into this announcement at the time when yields were literally breaking to decade highs and so We are literally at this moment going to see and really the yields have been backing off like when

you look at this 30-year treasure yield And you and you actually look Let's just look at the Zed B, which is they the long bond like if This thing breaks this 50-day moving average and starts to go. There is a lot of short sellers, a lot of systematic traders, a lot of things that may be forced to come in just from a liquidity perspective with zero to do with fundamentals. It would be very interesting to see whether there was an attempt to actually catch traders off-guard knowing that they will provide the necessary buying.

if they were able to trigger a short squeeze. Do you why I think Besson knew that it was trying to do that was trying to orchestrate that. Well, I mean, they certainly achieved it with oil if it was done. Yeah, I think that this is a problem. They're sitting around managing stuff for the for the next month or two instead of thinking about what should be done for the next year or two or the next decade or two. And if they just focus on doing what's right, the market will go where it's gonna go and give the proper thing. And this is why I think gold got so freaked out. We'll get to gold. Yeah, but I just think that like you're sitting there and we're talking about, okay, great. From a game theory perspective, there's this great short out there and he was trying to squeeze that. So terrific. These are the games that we play amongst ourselves in terms of traders.

And it's really important. It's not the game. The Treasury Secretary should be playing. The Treasury Secretary should be thinking about the long term kind of stable issuance of bonds for America. What works best... Listen, Trump knew exactly what he was doing when he put a hedge fund manager in the Treasury. Okay, but this is... Okay, I'm not arguing that. I'm just telling you why the gold market... is looking at this and giving a vote of confidence or a vote of discomfort, you know, like an approval vote because the reality is that this is games that traders play. This is not games that the Treasury Secretary should be playing. Fair enough. So let's look on the knock on effects. So let's let's talk about, you know, what was the side of what was the immediate response in asset markets and Actually, the first thing, which we don't have to spend too much time, was the dollar did respond with a further breakdown. And what was relevant about the US dollar breakdown was up until the breakdown move, the dollar appeared on the surface to being just in what was technically a traditional retracement.

Markets naturally move in ebb and flow two steps for one step back two steps for like Fibonacci retracement all of these different things are just natural primary moves secondary corrections these things happen and so the dollar made a major bull break out and it's been retracing but this bond intervention caused the dollar to break down in a way that did enough technical damage to neutralize the bull break out. Now that doesn't make it bearish but we were in a 15 month trade range in the dollar and arguably we are now back in the trade range and the dollar is not bullying and the vulnerability now is that the dollar may head to the bottom end of his trade range and stay in this trapped zone.

for even months to come, maybe the rest of the year that we're going to spend in this kind of a range. So as that dollar broke down, you have rates moving, dollar weakening so that to basically disqualify a new US dollar bull trend. And obviously the response was gold and Bitcoin. And the response was almost immediate. The gold was basically in a six, seven week basing formation, consolidating quietly in a tight range, completely inactive. If you brought a doctor in with some hospital equipment, they would say the patient is dead from inactivity. It was inactive. A match was struck, that little fire that basically launched gold, and it's actually amazing how fast the sentiment on gold pivoted so decisively bullish off of what was such, like you were saying, arguably a nothing burger move on bonds. It came off of its highs, but bonds didn't really move.

and and and the dollar wallet weakened it wasn't a monster move by any means like so so the major top line assets didn't do anything too crazy but the bulls and gold sniffed out that something just changed and and this six month 25% correction in gold that we've seen, it looks now like a decisive reversal of trend. But it's amazing. I know you talked to different circles and a different thing, but to me, it's pretty amazing how many people in my kind of people that I'm exposed to immediately got like 100% bull side. like instantaneously and everyone's super stoked about this bowl in gold and gold. Yeah. And listen, I think that that is what happened. And I'm just letting you finish here. And then I'll give you some. No, no, no, it's okay. So let me jump in. So first of all, let's start with the with the dollar. And I know that a lot of people, you know, I had a little macro tours meetup and everyone's always asking about the currency whisper.

He's a he's a fan favorite. So one of the things is the rule about the currency whisper is that I can't ask him his position. He has to tell me his position. And after the Besent announcement, I got like basically an email that said game on. And that was he's a he's a US dollar bear. And to him, this was a very clear signal that the treasury was playing with fire. and that this was the signal that you should be selling us dollars. And I look at gold, and I think now that we see what Druckenmiller's response was with the op-ed, it's probably safe to say that he bought a F ton of it immediately on the announcement, Patrick. If you're sitting there and you're worried about the treasury, playing games and suppressing rates, then what is your response? You sell treasuries and you buy gold. And I suspect that like, I don't know, I don't talk to drunken Miller, but I suspect that that Greenwich crowd that was their response. And that is why it was so violent in terms of the upside. They were voting with their dollars about Scott Besson's latest move.

China buying certainly has the other thing is though I I know I love Dennis Garmin is long one of my childhood heroes And he always says like in a bull market you can have three positions long extra long and flat I Contend that we're in a secular gold bull market and and to me I know everyone was laughing at me when I was like it broke that 50-day Down trend and I was like I got to get long again and Everyone's like oh my god. I'm surprised. You know the positive response to gold I'm not surprised to the positive response to gold. It's in a bull market It's gonna continue to be in a bull market for a long time because the reality is it just needed a catalyst Exactly and and that and that is what came and and it didn't matter you know, everyone always says, what's going to be the catalyst? You don't really know what the catalyst is in advance. All you know is the direction of the surprise. And I thought that the direction of the surprise was going to be that way. So to me, this isn't as actually surprising as everyone's making it out to be. And, you know, the funny, the funny part about that is, is that like a lot of people obsess like they have to figure this out before it happens. But often the best traders are willing to always allow the the first part of it to be missed and just rather wait till there the catalyst emerges the trend is established and they now know that's that famous saying like Stanley Drucker Miller would always say like I'd rather getting in and at the second inning of the game know the game has started You know and rather than getting in and not knowing right and so it's kind of like this idea where

where you know You can obsess like all gold is going to go up. Why obsess like so what you missed the first couple hundred bucks. If the things turn bullish, it's going a couple thousand. You don't need to have got the exact bottom and been, you know, and get it to the day because you knew what was going to happen. Sometimes it's more than enough just to know it's going to happen and wait. And then when it signals you go and this is pretty much what happened. But what's interesting.

If I can just continue in the precious metals theme overall silver is catching up but lagging and And you're seeing some activity in platinum and palladium. They've all generally turned up really They haven't started pulling yet like that this move very much was gold making a move and as the tide rose the other precious metals got some tailwind from behind. But what I'm waiting for as real confirmation is, is when these other precious metals suddenly get hot, then you know, we're in another bull market where they're going to run everything. And that's when the real big money is going to be made of precious metals. And maybe that's not going to happen to like the fourth quarter, like some time, right? Yeah, who knows? I don't know. I just to me, I My underlying reason to own gold is, is that ever since 2022 when Russia invaded Ukraine and then the West zeroed their reserve balances, that the reality is that other countries are going to look at that and say that they have to diversify into stuff and they're mainly going to diversify into gold. So that is going to always be what leads to me. And I know that there's all these things about silver and, you know, I actually like platinum, but at the same time, The the thing that's gonna go and lead and which did for a long time Patrick for a long long time Gold led compared to everything else and it was it was this function where gold was going up alone And it wasn't even like the gold miners didn't even go up with gold for a while because the reality is central banks buy gold. They don't buy gold miners Absolutely. We're back to the bottom Well, no gold miners have been ripping buddy. Yeah, I agree But but let's talk about the asset that shall not be named Because the response in the crypto space was Incredibly explosive like It was like I don't know whether it feels far more like a short squeeze than a rush to buy like Like the velocity of from which it went up indiscriminately has hallmark signs of what a short squeeze typically has maybe maybe there was some heavy shorting in there, but the fact that it turned so decisively, it destroyed every metric of the bear trend. Like this,

even though I don't see the asymmetry of starting to buy at 80,000, it's clearly, you can't say it's bearish anymore. Like it's, this is, this is a market that now We could see a scenario where all of these crypto and gold assets may continue to be one of the better performing areas for the remainder of the year. It will be interesting to see. I always love to measure the quality of a bull market by seeing how things behave during pullbacks and corrections in them. Deep corrections tend to demonstrate that it's not being well defended.

While if you have pullbacks and buy-on-dip traders immediately defended and reclaimed previous prices and you're seeing price action demonstrating positive flow, then that just reinforces the strength and the potential further follow-through that they can have. I'm very curious as we go into Labor Day and into early parts of September, will we see This type of price action emerge here where it continues to show that accumulation in bulls are very aggressive and that they just don't allow corrections to have any meat on the bone. It's going to be the puzzle to solve. That's what I'm as a technician going to be studying very, very closely in the way that the behavior comes out in the next couple of weeks.

Okay, let's go on to something else because I had nothing to say about crypto. Okay, so Well, let's let's talk Nvidia then. Okay, S&P 500. Here we are. We you know, we can't we have to talk markets in general here. So my position was purely that Nvidia offered only an event that That is kind of like Jackson Hole could be an event, but then probably not Overall, there's a lack of event risk and that could keep the market rather boring throughout the summer. It's already low volumes. And I thought that NVIDIA really had the potential that if there was some sort of disappointment that they could have hammered the semiconductor space, which could have been a huge drag on the markets. And while and it did not like Nvidia came in very strong and You know, it's interesting because obviously the whole semiconductor space here. I'm gonna put the SMH has been hugely dragged down I mean, it's when they had their blow off top the the Cospy Has obviously gone through a huge correction of what was the hottest market in in there and and video offered Potentially something that could put the nails in the coffin right like they could have turned but but essentially what happened was they came out and in essentially You know blew away

Guidance like they were basically going I think everyone was estimating something like 44% growth next year and they and they came in Like a 70% and said it was only supply constraints that prevented it from being higher, like just insane statement. And the part that really you can kind of take away from that was essentially they pushed forward the cyclical question, right, which is essentially did the cycle turn? Everyone wants to know whether the capex cycle spending cycle has run its course.

And it would inevitably be a statement from Nvidia or something like it that would have sent that. And they didn't give that at all, which basically gives investors permission to basically create a longer runway for this entire semiconductor cycle and take away almost the most immediate downside risk. And so my thought was, well, this should have led to a very strong response. And while the response on NVIDIA, you know, just put it up, was decisive. Like I mean, after testing its 50 day moving average, this gap higher is already clearing its one month high and is giving a shot at its 52 week highs. Right like we have a shot here that Nvidia is going to make a run for 240 250 on the upside maybe even a six trillion dollar handle like we'll see what what the market cap will be after a bull run here but for me. I would have thought that because they said this this should have created a much stronger response in all of the other semiconductors and all the secondary and third.

Tier beneficiaries of the AI cycle lasting longer going farther and to be honest Outside of Nvidia's really impressive move It looks pretty darn weak out there in terms of the response outside of Nvidia now the SMH is up to over just over 2% But it's trading at its 50-day moving average by no means are the AMD's emu's and Intel's and so on, you know, blasting out of the gate like this is going. And and the hyperscalers did it go all like the like, let's let's just kind of go through this thing. Apple is flat on the day. Amazon, I'm just going in alphabetical order, down on the day, you take meta, it's down on the day.

You take Microsoft, and it's up on the day. That's that's a winner like Google is down on the day, right? Like these are hyperscalers. These are this all part of the game. These mag sevens are very important component of taking the S&P to 8000 if there was going to be continuation. They're huge index

components. And here you got a mag seven and Nvidia say, no, shit's going to be great. Things are going to go for a couple more years. And there's very little response in what I would think would be distinct response of like just the way gold breaking out on things like there should have been something that where where they just had the tide rise and all the boats are rising with the tide rising. And that is at least not evident in the first day after their announcement. And like my thought is like, well, shit.

If Nvidia putting this kind of an announcement out isn't making these stocks go up, what the frick has to happen for them to go up? All I can think about is as you're given this story is that everyone's already long. And it doesn't matter what the story is. If everyone already owns it, you need new buyers. And if you don't get new buyers, there's nothing you can do. And if everyone already owns it and it's already too long, there's no new buyers. Right. And so to me, this looks like a flagging formation for a bull breakout on the S&P. The NASDAQ looks like a flagging formation bull breakout candle for a continuation pattern. There is an opportunity for these markets to have a good September. At least there isn't anything to take this down that has emerged.

You know, there's always something that could come out of left field and surprise the market. But as of this moment, there is no catalyst for that. And so the path of the least resistance is that these markets can in the foreseeable short term impulse of the swing trade all head higher. But how the hell does the S&P clear its previous high and go to 8,000 unless the mag sevens are rock and rolling with it? like NVIDIA can't do all the work by itself. And right now, there just isn't the response yet. And it may come in the next few weeks, but that's definitely the thing to watch, whether or not the rest of the tech sector, the AI story kind of sphere, whether these stocks take flow. And if they don't, If let's say we're back after Labor Day, couple weeks in, and these stocks have all just grinded and done nothing while NVIDIA goes to 240+, I'm going to start getting nervous. Because if they can't make a move under this condition, there's a problem. And that problem will manifest at some point. So I'm giving the bulls the benefit of the doubt. I'm actually not Going to actually fight this I'm gonna let this happen and but I but the way this Emerges and plays out in the next two weeks is going to reveal a lot Because you know if this kind of shit can't make the market make a next

level move up and that means Semiconductor top is already in It means that the MAG-7s are going to struggle making new highs and the tops may be in over there. And then really what will hold this market up going into the midterms? We're going to be like October, November, things are going to get spicy into the next earning cycle. Things can really, a fourth quarter, and especially, you've talked about it quite a bit, is that there could be election surprise. There could be markets that get a little bit shocked by what transpires and wrapped around those elections before and after, you know, there's all sorts of things that go wrong and you need a really healthy bull market to be able to withstand that kind of volatility, a market that's behaving heavy and toppy and distributive, it will fall under its own weight very easily.

If a bad news event is presented to it and the more vulnerable the market stays in the next few weeks, the more I'm going to get concerned going into the fourth quarter. So Patrick, this is like the perfect response for me. And the reason is the perfect response is because you're nervous about the market. You think it's behaving badly, but you're going to give it some time to think out. and you're not shorting it like me, so therefore I might be right, because if we both shorted it, then it wouldn't work. So, good luck. Thank you buddy. Good luck. I appreciate it. You're a pound. But listen, I might, I might goucher for you in just one day's flip-flop, you know, like, well, as long as you don't do it publicly, we're okay.

Right like if you go do it on the side with your members, that's fine. We're allowed those work It's when we come out publicly on the show and we're both confident enough that we're saying it publicly there. That's the real problem. So absolutely Absolutely, but what's what's amazing to me? Let's quickly pivot on the s. So first of all S&P this flagging formation does leave the window open for S&P to go 8,000. But I doubt it's going to hit 8,000 without Mag7 participation. So we need to see, you know, the Google's, Amazon's, Apple's all, all give a, another goal, a minimum for a double top retest on their charts to just go retest previous highs. If, if we see something like that, that could give us an 8,000 print on the S&P, but it's not evident yet.

Let's see if that manifests. But the one interesting thing to me is the 14 handle on the VIX. Now, I totally get it. Why in early August, we'd have a 14 handle. Why? Because it's 30-day volatility and when you're looking forward 30 days into the low volume dead summer period, then that makes sense. But here we are. We're 30 days forward. We're actually got an FOMC a quad-witching op-ex And and you know, we're gonna be moving much closer to the elections all of these things Volatilities at its year low. Yeah, like like as of this moment in there the demand for ensuring this market risk is surprisingly not in demand because obviously the VIX is reflexive. And so the moment there's reach for any hedging, then the VIX will rebalance to to kind of reflect the flows. And the way I'm interpreting this is that nobody's worried. Nobody's worried completely agree. And Patrick, you highlighting the fact that it's a 30 day VIX?

I remember there's a three-month fix right here. The three-month fix at the 17 handle. And more importantly, look at it collapse. I know. Look at that's got the election in there. That's insane. Don't say anything. Buy your straw hats in the winter. Buy your straw hats in the winter. Anyway. This is a, and the fact that it's, I guess it collapsed on video because Nvidia was that important to determining whether or not there was immediate short term risk. And, and so this is reflecting the fact that the semis did not just shit the bed with a huge Nvidia miss. Everything's great. Stocks are cheap, man. Oh, yeah, absolutely. Stocks are cheap ratios, man. So let's tour some commodities and then we'll slowly start wrapping things up. So we talked about gold. What's interesting is copper, it's towing around with 52-week highs. Now the interesting part is when we look at different commodities at different stages of the cycle, there's two commodities that are literally at polar opposites of investor position.

Now, Copper, I'm just going to use Caught Signal to look at. CaughtSignal.com. It's free folks. Go check it out. Thank you for the plug, buddy. So, but it's not completely awesome to just check these kind of things out. But look, look, we're at the 99th percentile of large speculators. And it was the 100th percentile recently. So just coming off there of investor positioning. An interesting part is that the short sellers were almost inactive. The short contracts has been almost flat, which basically is that the entire rise in positioning continues to be large speculators buying, which is

very much what you look for when you're trying to determine whether there is decisive crowding. Right and whether a trade is crowded and you know because to me if we get to a hundred percentile from a short squeeze But the but the longs are not buying then that's not crowded. That's just shorts being forced out Right and but this with copper is not short sellers being squeezed. It's decisive longs buying and so we and and it's almost at a five year high in terms of positioning, which is that it's consensus that copper is bullish. Okay. Now that does it's not as a contrarian, you don't fade this just because it's a thing like analogy that I use in for caught analysis is like, you know, there is a strip, a nightclub strip.

with five different nightclubs and one of them is crowded shoulder to shoulder uh with with a great party you know the only trouble comes when you know there's a fire and everyone's trying to run for an exit but if you're looking for a good party you're not going to the empty nightclubs you're going to the club with the party in the end a crowding uh is it can be a sign that there's a fundamental reason this is happening and if the trend keeps rewarding um, those investors for being along, it can persist for very long periods of time. And so you don't automatically fade, uh, uh, bullish positioning. So copper one second, one second, I'm at that empty nightclub trying to tell everyone that it's actually better than they think. And then the moment they come, there are a couple of people come over and go, Hey, this isn't bad. I go, whoa, whoa, whoa, this is getting busy. I got to leave.

It's like, I don't like all this. Give me some space. But so far, copper bulls have been rewarded. And it'll be very interesting to see whether copper can clear a 52-week high. It measures out to the seven, seven and a quarter level on the upside. There's lots of room for copper to still working. But it is an example of something that's already consensus. It is consensus. There's solid fundamentals. There's all, you know, there's genuine shortages, inventory things. There's real reasons to be bullish copper and everyone sees it and everyone's positioned for it. And what's interesting is that copper stocks finally joined the party. I'm just going to pick on Freeport McMorrin, but we were in like a five, six month trade range.

sideways, and you just see the Freeport broke to that 52 week high, and the party to probably 8590 is underway. And so copper is still bullish. But I'm

not in any way actually bearish copper yet. But what I do say is everyone that is smart should be planning an Irish exit, right? Like, like, you don't You know, you got by the way, we love our Irish friends. That is not the derogatory in the least. And I for one, listen, as a trader, you want the skill of having an Irish. I respect the Irish exit. Like it's absolutely just like, just like, you know, everyone's long. Everyone's having a party. It's like, where did Kev go? He's gone. He's gone. It's like, I'm the first out and see you later. And but but you should be planning.

a way out because it is very crowded. But right now it's working and likely to go higher. But what is super interesting is the exact reciprocal of that has got to be the natural gas markets. And natural gas is at the 0 percentile. And an interesting part is that this is literally with a huge aggressive building of short positioning where we are literally seeing five gross shorts at five year highs in terms of the amount of short contracts. It and as an percentage of open interest, it's not as low as it was in 2023 because as the price goes lower, you get more contracts. So as a percentage of open interest, it's not as extreme. But this is a hated market. No, but everyone is short.

just like Treasury bonds, and no one wants to touch it with a 10 foot pole. And this is going to be interesting as well. That doesn't guarantee a huge turn. But I want to focus in on winter gas, I'm going to hone in on the January contract here, because that's where the peak of the term structure is. So while, you know, the current summer gas is down at three, but three BTU. This is around four, four bucks. Can I Just interrupt for a second before we move to winter gas because I don't think you should throw out the fact that maybe we're going to get some action in the summer. And I wanted to highlight the fact that you know how they pick names for storms. It's like a like our first one this year was Arthur. Then it was Bertha. And then it was crystal ball. I don't even know what that name is. Do you know what this this one that just formed the D is? You don't know a dolly doll. It's dolly.

I don't know. She's such a kind, nice person. So maybe it won't be something that causes disruption in the markets. Start firing big cannons, buddy. It could get violent. I can't believe you went there. Okay. But anyways, I don't mean to interrupt. I just wanted to highlight that the

summer action is by far still open. Absolutely. Okay, so the point here is it's been a bleed out. And it's still a viciously ugly trend. But the interesting part is that this natural gas has an infamous nickname, I'm going to let you go ahead and say what it is. The widowmaker are you talking about that? Absolutely. Yeah. And so the question is, is with this huge amount of short interest that's sitting there, are we about to witness the Widowmaker is reputation in the markets. Are we going to see a something event that forces a proper squeezing of traders in these positions? So you're recommending, Patrick, we go like all in short, copper, long, would not cast, that what you're recommending? Absolutely not.

The widow maker, the dual widow maker. Okay. Do you know what I'm going to do? I'm going to make a like a return profile of like a hundred percent levered on both sides, long copper, short net gas, and we'll see how she does. Sorry. The other way around short copper, long net gas. We'll see how she does. You should make an ETF. No, the bad because the Patrick Suresna. uh, widow maker. My ideas right now are implicit, uh, but that would become evidence explicitly that you shouldn't listen to me. Well, people could short it. Like that's a nice thing. Absolutely. If you guys become like the creamer, it'll be like the dream creamer, uh, uh, fun. I personally think that you're, you're not giving this trade enough credit and that the Pat, the Pat Suresna, uh, ETF might actually work.

and that we should be now listen we're obviously kidding do not go what I would what I what I would actually argue is that while copper can be volatile to the downside if the if the trade worked it really would be all the lifting from that gas ripping higher the just from a volatile capable volatility you know like in a percentage and just from an implied perspective I think that like not gas can double And not like the winter gas, maybe not like winter gas. So then we'll let's let's vol adjusted and let's evolve. I let's do five times as much copper short just to add some spice to it. We won't vol adjust the net gas down. Well, I'm not really bearish, but I'm not really bearish. I know, but it doesn't matter. Everyone's bullish. We got to go. We got to do it, buddy.

All right. So that's it. It's all right. Listen, just just do it. I say two to one is fine. You don't need to go five to one. Okay, there we go. We've heard it. So

you so build it build it and we'll track it. Okay, we'll do it. Like we'll come back it. We'll come back at Christmas and we'll see how it turns how it did Christmas. It's going to be like a winner by like, you know, next week. Next thing. So we're going to get the dolly storm that comes in and crushes it. And that gas is going to be like limit up for for a week. There you go. So let's let's talk about uranium for a moment. Okay. And it was interesting is like the metals and mining everything turned up all at the same time when gold broke out. But what's interesting is uranium was virtually dead. Like like imagine this being the patient at a hospital with the heart pulse monitor on it, like it flatlined for five months, literally stayed within a few dollar range.

and literally bored everyone to death, like with complete inactivity. And finally, physical uranium, the U308 started moving. And it's a very clean breakout. And you can actually see when you look at, let's say the Sprott physical, which is an easier cleaner chart to look at. You know, we were going through a very difficult nine month correction that mirrored gold's decline. And I don't know why uranium should mirror gold's decline, but the parabolic blowoff happened within days of gold's peak. And the correction lasted almost the exact same length. And you know, in some ways or another, like, let's see on a percentage wise. Yeah, look at that. Gold was down 25%. Uranium was down 27%. They peaked at the same time. They corrected in almost the exact same way and they broke out at the same time. What the hell are central bankers buying the yellow cake? I don't know. I think it's the fact that anyone that likes uranium likes cool. It's all the same crew. If you go look at them, it's all the same crew. It's probably the same crew. You're right. It's probably the same crew and they all got excited at the same time. But there's no denying that uranium moved at the same time and broke out here.

And so one of the interesting puzzles to solve here is, did a new uranium bull market get underway? If gold's going to be bullish, did uranium just turn bullish? It certainly, technically, has all the same story from the price action, almost tick for tick. And so the question is, will this correlation persist? Or is this one of these correlations that will ultimately break, and the two will diverge and march to the beat of their own drums and thing? But right now, there's no denying. Uranium's up and running and moving at

the same time as gold. One second, sorry. I was getting hit up by an old guest that I have to talk to on the show. What else you got going? You keep going. I got to just respond while we're doing it. What else you got? Well, we got to talk about the breakout in the grains, right? Like remember when we were on the last episode, we were talking about that retracement and how bullish this pullback was setting up.

And what a response to last two weeks. Just an epic bull breakout. Look at the wheat, make that punch to 757.60 on the upside. Corn, what the heck happened here? Like just an absolutely stunning bull breakout. And, and soybean, breaking to 52 week highs. Like we have very distinctly seen the food story breakout. It is it is working. It's it's it's a decisive breakout egg stocks are slowly starting to wake up but a few names like for instance, you know When you look at mosaics bear market seems to have potentially turned Nutrient made a breakout to the upside and is starting to turn and trepid pod ash Is breaking out out of its thing so you know what a lot of these kind of beaten up and forgotten commodity stocks have genuinely turned. I like it. I'm hopeful that that's going to be a surprise bull market. I know it's terrible to be hoping for that because the reality is that it makes everyone's dinner more expensive. And it's almost like it's the worst thing that we could afford now. But the reality is Patrick, when you look and even with those moves, you step back.

and think about this in the grand scheme of things, it's barely moved. Well, here, I'm gonna put on a weed on a monthly chart and just put in context that if this was the breakout in wheat on a large macro scale, I mean, it could still run 30, 40% higher from here in the next year or two. like there if this if this is a legit new breakout and so you're absolutely right like for me the tactical opportunity to buy is not here after you have two week rip like this you got to buy a dip not a rip and so I'm not in any way in fact I did some profit-taking on on a bunch of our weak positions we were doing some income writing and other things like this on it so we just took all of that shit off the books. We got to get you a t shirt that says you got to buy dip, not a rip. That's a good line. I like it. It's, you know, there's asymmetry in dips, not in rips. I'll get that on the back. Sorry. Put that on the back. There's a mystery in rips, not dip or whatever you said. Done. The other

thing t shirt is being done and listen, any listener that wants one, just let us know. Yeah. And the other thing is, I have a request though.

What's that? It'd be a cutoff one and we would get to see you in it. And given that you've embraced the European lifestyle, I'm expecting speedos while you do it. So that is, that is the look we're looking for. The t-shirt, the speedos, the whole nine yards. You're looking good, buddy. You'll be able to pull it off. It'll be good. It's good. You ever see those, those two guys that do like electronic music? that just, they spin records and they sit around with their cigarettes and they, I don't know where they're from. Absolutely. I'm going to, I'm going to grab a pack of smokes. Yeah. Yeah. And, uh, and, uh, and, uh, and, uh, and this, and this beetle and, and spin some records and I'll just get a little stash, a little stash. Yeah. Yeah. Yeah. Yeah. Yeah. Those guys are awesome. By the way, did you see that there was, um, the Euro they had like people, there was a new, um, Contest for potential, what, what should be on the euro. And there was one with those two guys. I don't know their names. It's someone to help me out and tell me their names in the comments or whatever. Love those guys. They're awesome. I would love, you know what? We, we generally don't get off topic guests, but if those guys want to come on the show and talk to us about what their investments are, 100% is there anything else in terms of seriousness? I forget to talk about.

Gosh, what chart did you forget to are you did the dollar you did the bonds? You did most of the commodity you didn't do crude oil Yeah, okay. Thank you Yeah, thank you. All right crude oil, you know, you know what it is because all you do is talk about crude oil on that other show Yeah, absolutely. You're just like I don't want to talk about crude oil. By the way, what are time spreads doing? And what's the inventories? So so let's Let's talk crude oil here for a moment. And what's interesting, obviously the collapse back in May and June did one of the most spectacular washouts of crude oil traders. And we talked about it in the last episode when we look at contract positioning. But there was a substantial build in short contracts in crude oil.

to the magnitude that they went from like 170,000 to 230,000 contracts grow short. Like they were building short cells into it. And more

importantly, the longs got squeezed out, you know, close to 400,000 contracts grow long. And literally 25% of the contracts were forced to close out during that collapse in there. So there was a serious pivot in positioning. What's interesting, is that we've never seen either of the sides get shaken out from where they're stabilized. The shorts are still short and the longs never came back. And the funny thing is, is that the crude oil markets continue to be very tight. Inevitably, they're going to let more oil through the straight and there's all these kind of different things happening. I heard 200 ships last night. Sorry, I heard 200 ships last night. Did you Yeah, that's what I heard. I got an insight from the White House. So so I don't even know if you're joking or not. But anyway, but but the point being that irrespective, there is a very tight market. And even if they're meeting some of the most immediate demand to prevent their being a huge spike.

The one thing I want to highlight is that it's very, very unlikely that the sustainable fair value of oil belongs down under 70 for the foreseeable intermediate period. And we're at a higher shelf of oil price, which is probably 80 to 90 oil. Staying up here in these kind of market conditions is probably the upper shelf. like the where where oil should probably be in the for the rest of the year. And so what's interesting is that they're really with so many people short, and so few longs being rebuilt, when we started the sell off not only back in August, but again, here at the end of August, there's no one to shake out. And so the sell offs are not following through on the downside.

That's a great way of putting it Patrick. There's no one to shake out because nobody's long. No one's long. Well, there's longs but not no one really like there isn't there. It isn't thing. And and so while I I don't know whether I want to be in that camp that it's imminent that we're going to 100. What I feel increasingly confident in saying is that we're not going lower. Like that like that this this is the place. This is the upper shelf. This is now where fair value is for oil. And even if there is attempts by powers that be around the world to suppress oil from going higher. I don't think that they really want oil down at 70 or 60. They just don't want oil at 150 going to 200.

And so I think it's very realistic that, you know, we bounce around in the 80 to 90 range without liars that we go to 100 if the conditions warrant it. But I

feel like it's asymmetric here because I don't see oil going back to 70 or 60. And so here, it's a great income writing vehicle, the high implied, probably definable downside risk. or manageable downside risk, let's just say, and you can harvest premium, you can do all sorts of stuff. I think you can lean on the fact it's stable, but what is particularly noteworthy is energy stocks structurally stay quite bullish, which is this higher shelf means that all of these companies are being repriced for more sustainable profits.

on a longer term basis because we're not going back to, you know, unprofitable levels of shale and all this other stuff that goes into the calculus. And so I actually would say you have to be super bullish energy stocks and be more neutral oil itself. Where like oil is going to be up here and sticking around, but energy stocks. They could have another 30% run this year. Like you, I think you have to play from the equity side. From your lips to God's ears. I love it. Well, we agree, which means it's not going to work. Yeah, that's true. But I've held that forever. I mean, holy, like I've been trying not to look at my energy stocks. I love them. And I kept hearing you talk about this top shelf stuff. Like, isn't that what you like? I'm not a big loser like you. Isn't that what you talk about? Like the good scotch, you get the top shelf stuff.

Yeah, yeah, well just a higher shelf. I meant to see a top shelf Just a higher shelf It is the market huddle after all we're not top shelf. We're just no we're not top shelf in this one All right, Kevin. Let's let's give it a wrap. That's it was a good go Okay, thanks for tuning in folks where can before I thank folks where can they find out more about you and your top shelf analysis Well, thank you. You can find me at bigpicturetrading.com, but definitely want to keep pushing people like, uh, check out the caught signal. We buy, you know, uh, dot com. Uh, we built it for free. There's no strings attached. There's no like shit hidden by paywalls. It's just, uh, information that we wanted to share. And, you know, I felt that caught reports.

We're very intimidating because no one simplified it everyone made These caught reports this thing that you have to decrypt and so nine out of ten people would see it and walk away The whole goal was to make the information palatable and it was so people can more easily draw conclusions as to what's happening in the market So take advantage of a

check it out And, Kev, where can they find you, buddy? Oh, they can go to themacrotourist.com. Listen, bear market, bull market. We're just happy to spend some time together on this crazy ride. Now stick around for the aftershow. Here comes Danny. By the way, just announcement to everyone. Like, we are, wow, what the hell happened, Danny? You're in red. You know what he looks like for those who don't feel like a devil? Most people are listening.

But you know, that episode of, um, of, uh, Seinfeld when Kramer is beside the, uh, Kenny Rogers roasters and his entire apartment turns red. That's basically what Danny's experiencing. Kenny Rogers roasters is coming next door and just Google that episode. And that's all you need to know when you're thinking about what's going on at Danny's place. Sorry guys. No worries, but listen, I just wanted to let our listeners know that the next couple episodes are going to have to be, will be more unique because we have packed schedules and things are less available for all of us, but the rest is sure that the huddle will be huddling all winter long. We're just, at least I'm on track.

a little bit of a vacation in the next little bit. So, uh, we'll, uh, we'll see how it all goes. There will be a show in a couple of weeks, but it'll be an interview only. We have a great guest and I'm looking forward to it. So we will get that. And then I will be away for the next one. And the question is, is Patrick Lazy and just doesn't, doesn't make a show. There'll be something. There's going to be something. Okay. Okay. There'll be something, but anyways, let's do this beer, buddy. Yeah. The prickly pear. It's great. I thought it was the prickly bear, but it would have been much better. But you know, it... That was warm. No, you know what? No, I'm not going to pretend. I'm just going to give it a mid. I'm going to give it a 6.2. It wasn't horrible, but...

You're like that guy that's on the internet calling Scarlett Johansson a mid. Let's face it. She is a mid. Also, Kevin, the people you are referring to, these guys, they're called... Oh, there we go. I don't even need to wait. You know them. What's their names? Mind Enterprises, and they have a song called Negroni Love. They hold the Negroni. and the cigarette. I think they're both Italian. They're awesome. This is the summer look here. Yeah. It's awesome.

I think Pat could pull that off, don't you think? Yeah, I think I could 100% pull that off. He's got to get the stash. With the Speedo and the 1980s style bad clothes. Looks like they're in my advice. That could be Kevin. We'll get you a wig.

Yeah, for sure. I'll wear a wig. I'm not proud. I got the bod. Are you talking about the the the guy with the stash because actually that's my also got the same bod as him So actually I'm just gonna I should grow the stash get the glasses and just put on the things the the shorts It's the Adidas shorts and stuff that and they're high and then the other guy he likes the acid wash jeans Anyways, they're just awesome. Love these guys. Great. That's a good song. McGroni Love. Check it out. Okay, there. I'm looking it up right now. And listen, open invitation if they want to come and talk to about their portfolios. All right. All right. Is there anything else? I guess that's it. I don't have anything to say. You guys have anything to say? Got any big plans? I know I'm going to head out to Costa Brava again out in Spain. I love it there. So I'm going to Go and spend a week there right before Labor Day. Nice. Chill out on the beach and the coast. It's a little hidden gem. It's the Spanish version of the French Riviera. So it's super cool. That's good. And Danny, how about you? Like once you get away from the Kenny Rodgers? He's going to surf camp. He is going to surf camp, baby. Oh, wow. I'm going to camp. That's good. Where are you going? Is there an army or whatever?

We're going to Lagos. Oh, well, there you go. I should join you. We should learn how to surf. But I did. I did recently go to Nazar��, and I did recently check it out. It's pretty awesome. I would recommend anybody going there just to stand on the lighthouse and see the waves pounding in. Yeah, it's pretty nuts. Well, you know what I did? So there's another famous wave, and I can't remember the name of it. It's in Maui. And it's known as JAWS, but there's another word for it. But to get to it, it's probably half an hour of driving your car on back road, Maui roads. And along the way, there's burnt out cars. And you literally feel like, and I was there with my kids and my wife driving. I thought we were going to get a like mug because it just feels like it's another world because it's just so. But then you get there and you're like, holy shit, like it wasn't even going off. And you were like, oh, my God, that's scary. I can't imagine what it's like. And

getting in is just crazy. Like even to get there, then they have to get totally. And it's it's a huge production. So yeah, how do I say Nazara Nazare? That's right. That's right.

That at least seems to be, like, you can go watch it nicely without having to risk your life to get in. Yeah, it's very, like, it's a whole spectacle. You can really stand up and see everything. It's a very, very cool city to go and visit. Oh, I got to go. Because there's another one in Hawaii called the Hukipa, and that's much more civilized. You can go watch it and stuff like that. But that's not the real big place. The real big place is tough to get to. Yeah, so listen you do well at your You know one time at surf camp one time a bank camp Yeah, I'm I'm jealous. It's gonna be a lot of fun. I'm sure Yeah Everyone have a great, you know last little bit of the summer and I'll see you in a few episodes Patrick. I'll see you in Absolutely. Okay, everyone. Take care. Thanks, everyone. Be safe. Bye bye.